Investment Memo: Cloudberry’s Strategic Acquisition of Orrön Energy

Date: [Current Date]
Target: Orrön Energy
Acquirer: Cloudberry Clean Energy
Sector: Nordic Renewables (Wind & Hydro)
Implied Enterprise Value: €165M

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1. Executive Summary & Strategic Rationale

Cloudberry’s acquisition of Orrön Energy accelerates its transition from a pure-play developer to a scaled, diversified Nordic independent power producer (IPP). By merging Cloudberry’s Norwegian hydro assets with Orrön’s operational wind portfolio in Southern Sweden (SE-3/SE-4), the combined entity achieves immediate scale (150+ GWh), robust cash flow visibility, and a natural hedge against localized power price volatility. The €165M transaction is funded via a mix of equity (27% target shareholder pro forma ownership) and debt, and is highly accretive to 2026E EPS.

2. Target Profile: Orrön Energy

Orrön Energy offers an unlevered, cash-generative portfolio of onshore wind assets. Strategically located in premium Nordic price areas, the portfolio captures structural power price premiums compared to Northern regions. * **Financial Health:** High EBITDA margins (~35%) supported by low marginal costs and long-term Power Purchase Agreements (PPAs) providing downside revenue protection. * **Operational Excellence:** Lean operating model with proven historical capability in asset life extension and repowering optimizations, transitioning rapidly into a pure-play renewables operator with a pristine, debt-free balance sheet.

3. Strategic Fit & Synergies

The combination unlocks highly tangible, de-risked synergies: * **Capital & Revenue Synergies:** Co-locating new solar or BESS at Orrön's existing wind grid connection points avoids multi-year interconnection queues and reduces CapEx. * **Cost Consolidation:** Combining maintenance contracts, procurement, and asset management platforms drives an estimated €5.0M in run-rate post-tax savings. * **Complementary Generation:** Hydro acts as a natural baseload stabilizer against the intermittent generation profile of wind, smoothing the revenue curve and mitigating the "cannibalization effect" when wind speeds are high.

4. Valuation & Financial Impact

A disciplined valuation framework demonstrates significant value creation. Based on a 5-year Unlevered DCF model (8.5% WACC, 2.0% Terminal Growth Rate), the implied Enterprise Value aligns with current market premiums. The 8.5% WACC reflects normalized risk-free rates and conservative beta for Nordic IPPs. Even after funding the cash portion with €4.2M in new debt, the pro forma entity maintains conservative leverage, preserving dry powder.

5. Key Risks & Mitigants

- **Power Price Volatility:** Nordic wholesale prices have normalized from 2022 peaks. *Mitigant:* Blended hedging strategy (PPAs and financial hedges) locking in minimum pricing for 50-60% of generation.
- **Cannibalization Effect:** Wind price drops during high generation. *Mitigant:* The combined portfolio’s heavy hydro weighting acts as a physical battery, curtailing generation during negative price hours and dispatching during premium hours.
- **Integration Headwinds:** Delays in realizing €5.0M O&M synergies. *Mitigant:* Both are Nordic-headquartered entities with similar lean-corporate, asset-heavy operating models, streamlining integration.